

conditions, *i.e.*, what the company might be expected to earn year after year if the business conditions prevailing during the period were to continue unchanged. (On the other hand, as we shall point out later, all these extraordinary items enter properly into the calculation of earning power as actually shown over a *period of years* in the past.)

The analyst must endeavor also to adjust the reported earnings so as to reflect as accurately as possible the company's interest in results of controlled or affiliated companies. In most cases consolidated reports are made, so that such adjustments are unnecessary. But numerous instances have occurred in which the statements are incomplete or misleading because either: (1) they fail to reflect any part of the profits or losses of important subsidiaries or (2) they include as income dividends from subsidiaries that are substantially less or greater than the current earnings of the controlled enterprises.

The third aspect of the income account to which the analyst must give critical attention is the matter of reserves for depreciation and other amortization, and reserves for future losses and other contingencies. These reserves are subject in good part to arbitrary determination by the management. Hence they may readily be overstated or understated, in which case the final figure of reported earnings will be correspondingly distorted. With respect to amortization charges, another and more subtle element enters which may at times be of considerable importance, and that is the fact that the deductions from income, as calculated by the management based on the book cost of the property, may not properly reflect the amortization that the *individual investor* should charge against his own commitment in the enterprise.

Nonrecurrent Items: Profits or Losses from Sale of Fixed Assets. We shall proceed to a more detailed discussion of these three types of adjustment of the reported income account, beginning with the subject of nonrecurrent items.³ Profits or losses from the sale of fixed assets belong quite obviously to this category, and they should be excluded from the

³ The Securities Act of 1933 and the Securities Exchange Act of 1934 specifically empower the Commission to prescribe the methods to be followed in differentiating between recurrent and nonrecurrent items in the reports of registered companies which must be filed with the S.E.C. and with the exchanges [Sec. 19(a) of the 1933 act and Sec. 13(b) of the 1934 act]. The initial registration forms (A-1, A-2 and 10) and the annual report form (10-K) require separation of nonrecurrent profit-and-loss items within the income account.